

03 Regulation

10 primary questions | Oldest to newest

2026 objectives: 2.1

13 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

Click a question below to begin.

CA1-P2 April 2006 Q6	16 marks
CA1-P2 September 2006 Q1	4 marks
CA1-P2 September 2011 Q2	11 marks
CA1-P2 April 2012 Q6	18 marks
CA1-P2 September 2015 Q1	6 marks
CA1-P2 September 2016 Q4	13 marks
CA1-P2 April 2018 Q8	21 marks
CA1-P2 September 2018 spare Q3	9 marks
CP1-P2 September 2020 Q2	53 marks
CP1-P2 April 2022 Q2	50 marks

CA1-P2 | April 2006 | Q6

[Current topic](#) | [16 marks total](#) | [Original PDF p3](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 6** (i) List the principal aims of regulation of a financial market. [2]

The financial markets of a small developing nation are unregulated and underdeveloped. The firms and individuals operating in these markets subscribe to a voluntary code of conduct. The government is now intending to introduce regulation for these financial markets for the first time.

- (ii) Outline the reasons why the government may wish to introduce regulation of the country's financial markets. [5]

- (iii) Discuss the advantages and disadvantages of introducing the following systems of regulation:

- (a) self-regulation
- (b) statutory regulation

[9]
[Total 16]

CA1-P2 | September 2006 | Q1

[Current topic](#) | [4 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 1** List the requirements that a capital market regulator may impose on a bidder who is seeking to take over a publicly listed company. [4]

CA1-P2 | September 2011 | Q2

[Current topic](#) | [11 marks total](#) | [Original PDF p2](#)

Related: Ch 7.

- | | | |
|----------|---|------------|
| 2 | (i) Define the term “compulsory insurance”. | [1] |
| | (ii) List four possible distinct types of compulsory insurance. | [2] |
| | (iii) Discuss, for each type of insurance identified in (ii), why it might be compulsory. | [8] |
| | | [Total 11] |

CA1-P2 | April 2012 | Q6

Current topic | 18 marks total | Original PDF p3

Related: Ch 30.

- 6**
- (i) Define information asymmetry. [1]
 - (ii) Explain why there may be information asymmetry between an insurance company and its policyholders. [3]
 - (iii) Discuss how the information asymmetries arising in the following contracts could be mitigated:
 - (a) endowment assurance policies
 - (b) long term care contracts
 - (c) product liability insurance
- [14]
[Total 18]

CA1-P2 | September 2015 | Q1

Current topic | 6 marks total | Original PDF p2

Related: Ch 22.

- 1** An insurance company has been selling a critical illness insurance product for a number of years.

In general, the premiums payable under this product are towards the higher end of the range of premiums prevalent in the marketplace for this type of business. However, over many years, the insurance company has developed a reputation for being flexible and relatively generous when deciding on whether to pay claims.

The company now intends to introduce a new “basic” critical illness product.

The existing product will continue to be sold.

The premiums payable under the new “basic” product will be considerably lower than those under the existing product. To compensate, under the new “basic” product, tighter and more stringent medical criteria will need to be satisfied before a claim will be paid. These criteria will be rigorously enforced.

- (i) Explain why policyholders who opt for the new “basic” product as opposed to the existing product may end up feeling that they have been unfairly treated. [4]
- (ii) Suggest with reasons two actions that the insurance company could take to reduce the risks of policyholders feeling that they have been unfairly treated under the new “basic” product. [2]

[Total 6]

CA1-P2 | September 2016 | Q4

Current topic | 13 marks total | Original PDF p3

Related: Ch 30.

- 4**
- (i) Define information asymmetry. [1]
 - (ii) Discuss the information asymmetries, between the policyholder and the insurance company, for the following:
 - (a) an impaired life annuity policy
 - (b) a car insurance policy with two named drivers
 - (c) an insurability option where an individual can increase the level of life cover without supplying medical evidence [8]
 - (iii) Discuss how the information asymmetries in (ii) could be mitigated. [4]
- [Total 13]

CA1-P2 | April 2018 | Q8

Current topic | 21 marks total | Original PDF p4

Examiner report and original paper: use the links for this question in [index.html](#).

- 8**
- (i) Explain why regulation may exist to ensure that customers are treated fairly by providers of financial products. [4]
- (ii) Discuss, for each of the following scenarios, whether the customer has been treated fairly:
- (a) A motor insurance policy where a car has been written off in an accident and the amount offered to the customer is half what the customer considers it to be worth.
 - (b) A pet insurance policy where the claim has not been paid because the maximum annual limit has been reached.
 - (c) A personal pension where the income in retirement is a quarter of the amount that had been projected at outset.
 - (d) A with profits policy which has declared no bonuses for the past five years.
 - (e) A home insurance policy where no payout was made following a fire because the customer had not adhered to the conditions of the contract relating to switching on the burglar alarm.
- [12]
- (iii) Suggest how a regulator could ensure that the customers in part (ii) are treated fairly. [5]

[Total 21]

CA1-P2 | September 2018 spare | Q3

Current topic | 9 marks total | Original PDF p2

2018 spare paper (X18), distinct from the September main sitting. Original paper and matching spare examiner report restored from the supplied archive.

- 3** An insurance company has sold with profits savings policies to retail customers for many years. Following customer complaints, the regulator has now requested that the company reviews the environment under which these policies were sold, as it is concerned that customers may have been disadvantaged.
- (i) Outline the information that customers may have relied upon at the point of sale. [4]
- (ii) Discuss why the regulator may agree that customers have been disadvantaged. [5]
- [Total 9]

CP1-P2 | September 2020 | Q2

Current topic | 53 marks total | Original PDF p4

Integrated case study. The full scenario is retained under one primary chapter; related chapters identify its other substantial topics. Related: Ch 18, Ch 37, Ch 2.

2 Background

A large proprietary life insurance company writes a range of products in its home market. It has implemented the principles of treating customers fairly throughout all aspects of its business.

The company has been making losses on its portfolio of annuities in payment for the last 5 years. The Board of the company feel that a significant factor in these losses is due to poor policy data for its annuity business. The pricing actuary of the company has also expressed concerns that the rate of future improvements in longevity will be higher than was assumed in the original pricing of the existing annuity business.

The Board of the company are also under pressure from the company's shareholders to start selling new business in developing markets overseas. The Board are therefore considering a potential opportunity in a large overseas Country X. To date, the only life insurance policies that have been allowed to be sold in Country X have been through the state nationalised insurer. The state nationalised insurer offers only a very limited range of products, and significant parts of the population have not purchased any life insurance products. Proprietary life insurance companies have just started to be allowed to compete with the state nationalised insurer. The Company is considering whether to start selling life insurance business in Country X.

The insurance regulator in Country X is considering how it might assess whether customers have been treated fairly, by surveying customers when they receive the payouts on their products, and then asking how happy the customers are with their payout.

Questions

- (i) Describe the types of checks that could be made on the policy valuation data of the annuity business. [4]
 - (ii) Discuss how the company's accounting data could be used to assess the policy valuation data of the annuity business. [13]
 - (iii) Discuss the advantages and disadvantages to the shareholders of the company of adopting the same approach to treating customers fairly for business written in Country X to the business written in the company's home market. [5]
 - (iv) Discuss the advantages and disadvantages for the following parties if the company has a significantly weaker approach to treating customers fairly for Country X business than that taken for business written in the company's home market:
 - (a) potential consumers in Country X.
 - (b) the overseas regulator in Country X.
- [4]

CP1-P2 | September 2020 | Q2 - continued

[Current topic](#) | [53 marks total](#) | [Original PDF p5](#)

Integrated case study. The full scenario is retained under one primary chapter; related chapters identify its other substantial topics. Related: Ch 18, Ch 37, Ch 2.

- (v) Assess the effectiveness of the proposal by the insurance regulator in Country X to assess whether customers have been treated fairly. [9]
 - (vi) Outline the main advantages, compared with a small mutual insurer, you would expect the company to have in starting to sell business in Country X. [8]
 - (vii) Discuss the factors that the company should consider in deciding on the relative importance of launching overseas or improving the profitability of the annuity business. [10]
- [Total 53]

CP1-P2 | April 2022 | Q2

Current topic | 50 marks total | Original PDF p3

Integrated case study. The full scenario is retained under one primary chapter; related chapters identify its other substantial topics. Related: Ch 36, Ch 8, Ch 1, Ch 30.

2 Background

A regulator in Country C is reviewing the regulatory reserving and capital requirements for insurance companies and the technical provisions in respect of pension schemes. The regulator has a particular concern that the allowance for credit risks being calculated is insufficient for traded and illiquid corporate bonds. This concern relates to both the bond credit ratings and valuations of the bonds.

Insurance companies and pension schemes can assess the credit rating of an asset using its internal processes and controls. This is referred to as an internal credit rating. The alternative to an internal credit rating is an external credit rating provided by an independent regulated credit rating agency.

The regulator is considering the following three options for credit ratings for corporate bonds in order to address its concerns:

- (a) A requirement will be introduced that only credit ratings provided by regulated credit rating agencies can be recognised for bonds. All other bonds will be treated as unrated.
- (b) Credit ratings used for regulatory purposes must be determined by the regulator.
- (c) The regulator will continue to allow both internal and regulated credit rating agency ratings to be used. The regulator will introduce a requirement that a firm or pension scheme can only recognise internal credit ratings for regulatory purposes if the firm or scheme can demonstrate the effectiveness of its credit rating system. To demonstrate the effectiveness of its credit rating system, it will need to demonstrate the reliability of its credit rating being within a tolerance range of credit ratings that could be obtained from regulated credit rating agencies for a sample of its bonds.

The regulator is required to assess the effectiveness, implications, relevance, importance, suitability and/or value of changes to regulations including the impact on insurance companies and pension schemes before implementing changes.

Questions

- (i) Outline why a pension scheme or insurance company invests in corporate bonds. [6]
- (ii) Write down the purpose of a regulator. [2]
- (iii) Explain why a regulator would review regulations and supervisory practices. [6]
- (iv) Outline how key stakeholders will be affected by the regulator's review of regulatory reserving and capital requirements. [5]

CP1-P2 | April 2022 | Q2 - continued

[Current topic](#) | [50 marks total](#) | [Original PDF](#) p4

Integrated case study. The full scenario is retained under one primary chapter; related chapters identify its other substantial topics. Related: Ch 36, Ch 8, Ch 1, Ch 30.

- (v) Describe the skills and experience of the specialists the insurance regulator will need to consult, in order to review and update its regulations for credit risk. [7]
 - (vi) Assess the three options for credit ratings for the regulator. [18]
 - (vii) Discuss, for each of the three options, the supervisory challenges for the regulator. [6]
- [Total 50]